



Eight-Year Real Estate Investment

Evaluation criteria for the residential-versus-apartment eight-year holding-period return comparison

■ Core 5 pts ■ Important 3 pts ■ Auxiliary 1 pt

TASK SUMMARY INFORMATION

As of Q1 2026, Mr. A, a Shenzhen entrepreneur in a three-person household that owns one mortgage-free residence, plans to invest RMB 3 million in either a prime-location apartment or a 100 m² residence in a less central area. Assuming no appreciation, an eight-year holding period, a resale price equal to the purchase price plus financing interest paid, and buyer-borne transaction taxes, compare the investments. Monthly rents are RMB 5,000 for the residence and RMB 6,000 for the apartment, growing annually by 1% and 3%, respectively. Both use level-payment mortgages at 3.5%, with a 3% risk-free rate. Calculate each return and recommend the superior investment with supporting steps and rationale.

CORE TASK OBJECTIVE

Develop an **eight-year return model** comparing residential and apartment investments to determine which property type yields **higher returns**.

Representative Core Rubrics

5 points each

1 Financing Costs

Determine evidence-based or explicitly assumed financing terms for each property type and accurately calculate level monthly mortgage payments.

2 Eight-Year Returns

Calculate complete Year 0–8 cash flows, including acquisition costs, rental income, mortgage payments, outstanding debt, and net sale proceeds.

3 Time-Adjusted Returns

Discount both properties' cash flows at the **3% risk-free rate** and compare their **NPVs** rather than nominal returns.

4 Final Investment Recommendation

Show that the **residential property** has the higher NPV and explain the principal drivers of its superior present-value return.

Representative Important Rubrics

3 points each

1 Verifiable Calculations

Present key formulas or computational bases for level-payment mortgages, rental growth, and NPV discounting, rather than reporting results alone.

2 Consistent Units and Dimensions

Use monetary, percentage, and time units correctly, avoiding unit inconsistencies and order-of-magnitude errors.

3 Comprehensive Comparative Analysis

Compare both options in terms of initial investment, cash-flow pressure, and holding-period returns, rather than merely listing numerical results.

Representative Auxiliary Rubrics

1 point each

1 Readability

Use clear, jargon-free language, emphasize key figures in bold, and maintain an appropriate level of detail.

2 Quantitative Support

Beyond the core NPV results, explain at least two additional quantitative comparisons—such as initial investment and monthly payments—to support the final recommendation and improve readability.